TeraWulf (WULF) | Earnings Brief

3Q26 (quarter to 30 September 2026) | 6 November 2026

Prepared by Josh for CK, Third Prime. Post-call version. Treat as a strong first draft.

Executive snapshot

Consensus thesis. A power-rich landlord whose contracted MW become debt capacity once investment-grade credit stands behind the tenant, valued on 2027-28 rent rather than this quarter.

Thesis status: Intact. **Versus expectations.** Quarter: beat on revenue ($76.2mn vs $64.3mn Yahoo, from preview; $63.34mn per 24/7 Wall St.), but HPC rent proper was $46.0mn. Outlook: in line, as CB-4 stays in the fourth quarter though its first hall moved past late September and Justified now runs to 2Q28.

Biggest changes

- Google credit support for the $19bn Anthropic lease announced 4 November, applying once the lease commences: mandatory lease assumption or debt-reducing termination payment; no upfront equity to Google; cost recoverable from the tenant; falls away on Anthropic investment-grade ratings. No dollar cap disclosed.
- CB-4 rent: 102 MW still billing at 30 September; phased November to December, against a late-September first hall in August.
- Justified completions now late 2027 through 2Q28, from 2H27 to early 2028; Fluor GMP EPC signed, GMP still being set, design at 90%.
- Revenue beat, yet interest of $53.6mn is 70% of revenue and adjusted EBITDA stayed negative at -$12.8mn.
- Revolver rises to $400mn when the CB-4 lease commences ($150mn today, $75mn used); $280mn of Abernathy proceeds still to come; parent cash about $1.1bn.

Investor takeaway. The consensus view holds and its largest overhang has eased, because Google agreed to backstop the Anthropic lease with no incremental upfront equity, but credit quality only improves once the Justified debt prices, CB-4's first rent moved later, and Justified's end date moved to 2Q28.

Monitor next quarter

- MW billing at 31 December (270 MW guided) and 31 March (438 MW).
- Justified debt: size, coupon, recourse, and how much of the rent Google stands behind.
- First Muskie tenant, and whether it comes with direct investment-grade credit.

Pillar scorecard

Pillar	Market assumed	Quarter showed	Verdict	Source
P1 CB-4 and CB-5 on schedule	CB-4 first hall late Sep; all by Q4; CB-5 January	No CB-4 rent in 3Q; Nov-Dec phasing; CB-5 Q1 2027. Company says on track	Confirmed, with slip	Release; deck; call
P2 Investment-grade support for Justified	Not finalized; KBW's main overhang	Announced with Google (AA+/Aa2); no incremental upfront equity; applies from lease commencement	Confirmed	4 Nov release; call
P3 Justified debt at a workable price	About $3.5bn, Bloomberg via press	Not launched; terms when it kicks off	Unresolved	Call
P4 Build cost holds	$8mn-$10mn LM; $10mn-$12mn Justified	$8.9mn at LM; Justified reaffirmed; design 90%, GMP being set	Confirmed	Call
P5 Funded without heavy dilution	Rely on project debt	CFO says liquidity and Abernathy fund commitments without equity markets; 19.4% more shares YTD	Unresolved	Call; release

Key KPIs

Metric	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Revenue, $mn	76.2	44.8	50.6	+70% / +51%	[↑]
HPC lease revenue, $mn	63.0	31.9	7.2	+97% / n.m.	[↑]
of which rent, $mn (deck)	46.0	n.a.	n.a.	60% of revenue	[?]
Adjusted EBITDA, $mn	-12.8	-18.3	18.1	improved QoQ	[↑]
Interest expense, $mn (% revenue)	53.6 (70%)	56.4 (126%)	9.8	-5% / n.m.	[↓]
MW billing at quarter end	102	81	n.a.	+26%	[↑]
Contracted critical IT MW	839	about 840	n.a.	flat	[~]
Build cost at LM, $mn per MW	8.9	$8mn-$10mn guide	n.a.	within guide	[~]
Cash + restricted, $bn	2.36	about 3.0	n.a.	-21%	[↓]
Net debt, $bn (deck)	3.4	2.7	n.a.	+$0.7bn	[↓]
Shares outstanding, mn	501.4	n.a.	n.a.	+19.4% YTD	[↓]

Guidance

Metric	Guidance	vs. prior	vs. consensus	Management explanation	Analyst read
CB-4 (168 MW)	Phased Nov-Dec 2026	Later first hall; year-end held	n.a.	"on track"	Soft slip, little 4Q revenue
CB-5 (168 MW)	Phased through Q1 2027	Maintained	n.a.	Commissioning starts this month	Sets the $700mn exit
Run-rate lease revenue	About $700mn exiting Q1 2027	New	n.a.	About half of contracted MW live	The anchor number
Justified (401 MW)	Late 2027 to 2Q28; $10mn-$12mn/MW	End date later	n.a.	Three buildings, Fluor GMP	GMP not yet set

Top risks

Risk	Prior	Current	Direction	Implication
Project funding price	High	High	Stable	No coupon yet, with spreads wider
Delivery	Elevated	Elevated	Up	CB-4 start and Justified end both moved
Dilution, convertibles	Elevated	Elevated	Stable	$491.5mn short-term converts; cap table assumes $500mn cash repayment

Analyst focus. Analysts pushed on backstop mechanics and funding without equity; every pricing and yield question was deflected.

Monitoring and Kona

Signals: MW billing, 31 December and 31 March; Justified coupon and recourse; Muskie tenant and rent; GMP figure at Justified; Settlement of short-term converts.

Read-across for Kona. Management says debt needs investment-grade support, and even a $19bn lease with a top lab needed Google behind it; Kona's tenant at tens of megawatts should expect the same or pay for it. The structure is worth copying in smaller form: assumption or termination payment on default, wrap cost charged to the tenant, no equity given away. GMP EPC contracts are the second lender ask.